

Generative AI's Act Two:

From Technology Hammer to Real Value

Sequoia Capital

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Six Decades of Technological Progress

Converged to Enable Generative AI

6 Decades

Moore's Law

Exaflops of compute power

4 Decades

The Internet

Trillions of tokens of training data

2 Decades

Mobile & Cloud

Supercomputer in every pocket

ChatGPT's launch ignited a Cambrian explosion of AI innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue

Faster Than SaaS Ever Did

>\$1B

in startup revenue from GenAI companies alone

ChatGPT

Fastest-growing
application in history

Strong PMF with students
& developers

Midjourney

Hundreds of millions
in revenue

Team of just 11 people

Character.ai

2-hour average
session time

AI entertainment &
companionship

Yet many AI companies still lack sustainable competitive advantage and product-market fit.

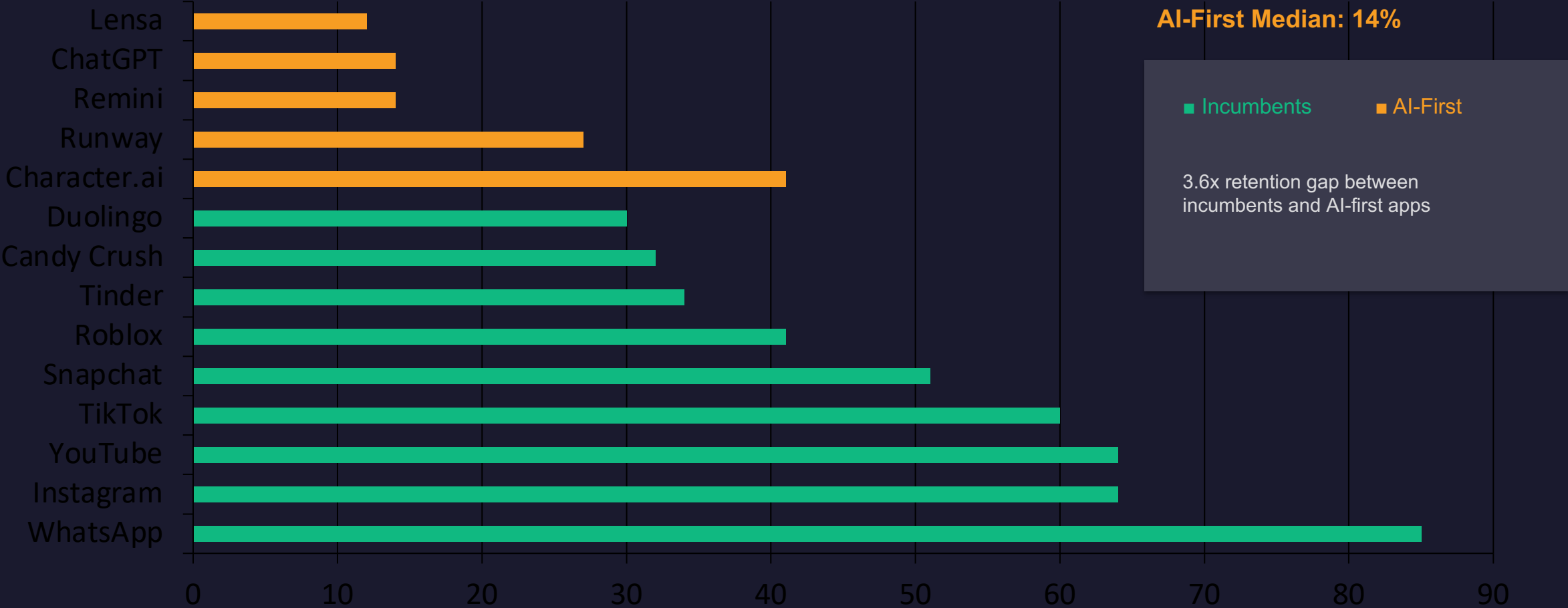
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Day-30 retention rates reveal the retention crisis facing AI-first companies

Retention %

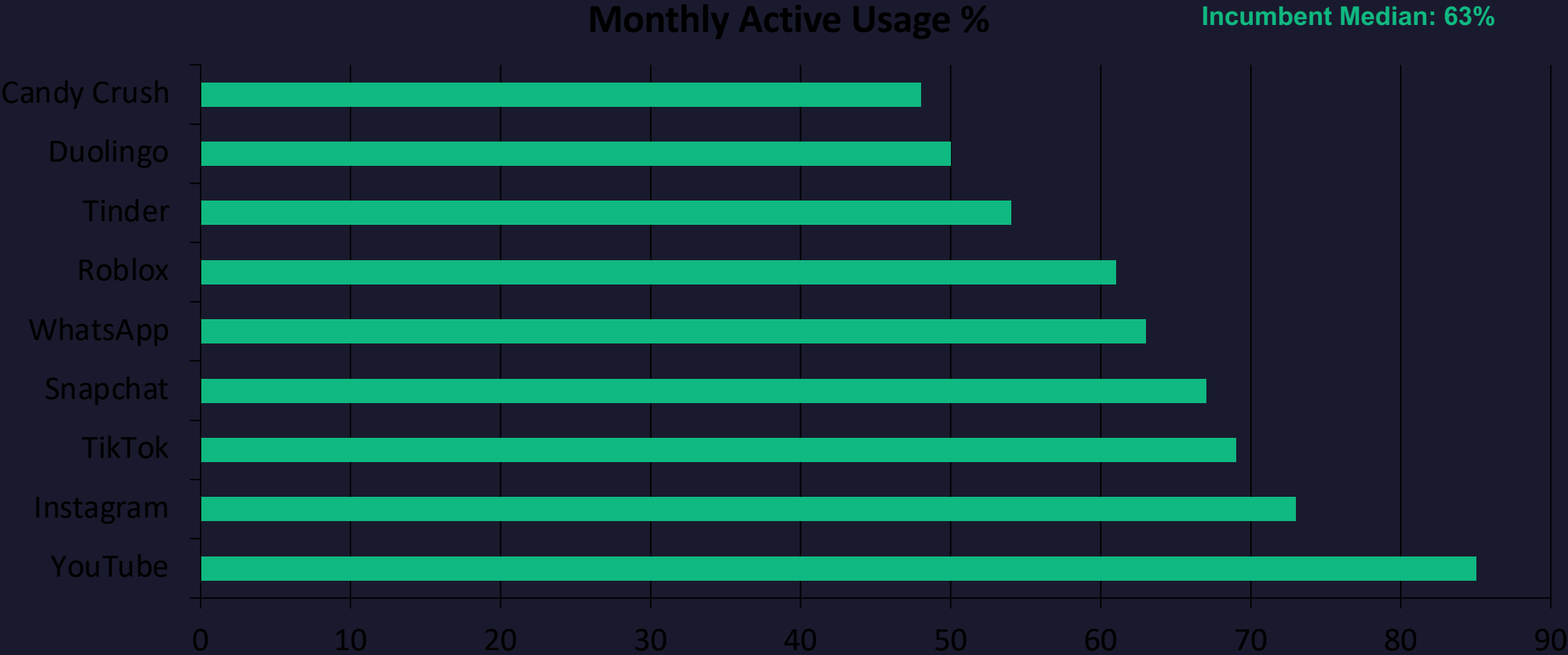
Incumbents Median: 51%

AI-First Median: 14%



YouTube Leads Incumbents at 85% Monthly Active Usage

High engagement bars set by established apps raise the bar for AI-first competitors



Act 1 Was Technology-Out; Act 2 Is Customer-Back

The fundamental shift in how AI companies approach product development

ACT 1

Technology-Out

- Foundation models as entire solution
- Novelty demos, lightweight wrappers
- Poor retention, no stickiness
- Modality-first organization
- Focus on technology capability

ACT 2

Customer-Back

- Foundation models as a component
- New editing interfaces, multi-modal
- End-to-end problem solving
- Use-case-first organization
- Focus on human outcomes

Act 2 Exemplars: Harvey (legal) • Glean (enterprise search) • Character & Ava (companionship)

Market Map Reorganized by Use Case, Not Model Modality

The shift from Act 1 to Act 2 reflects evolution from technology hammer to actual value delivery

Legal

Harvey

Enterprise Search

Glean

Companionship

Character, Ava

Content Creation

Midjourney, Runway

Development

GitHub Copilot

← **Modality-First**

Use-Case-First →

Key Takeaways: What Separates Winners in Act Two

1

Retention is the critical challenge

AI-first apps at 14% median vs. 51% for incumbents — a 3.6x disadvantage

2

Foundation models should be a component, not the whole product

Build comprehensive solutions, not thin wrappers

3

Multi-modal, workflow-integrated solutions will win

End-to-end problem solving creates stickiness

4

\$1B+ revenue proves real demand exists

Despite hype cycles, commercial traction is undeniable

5

Companies solving end-to-end human problems will define Act 2

Customer-back approach over technology-out